

It wasn't difficult. The facts spoke for themselves. All I had to do was confirm them by matching what I knew about the behavior of individual Russian companies on the ground with the reported capital and trade flow data. I then wrote a lengthy internal paper on it because colleagues thought I had to be exaggerating.

So what was the explanation?

Russian exports were massively overstated in cash terms. Most of the money from exported goods was being diverted to private Swiss accounts and never showed up in Russia. For example, a Russian mining company might export \$100 million of raw materials and report the sale as \$50 million. The missing \$50 million would go to a private Swiss account, and \$40 million of the reported \$50 million would go to the same account and show up as a receivable—receivables that never quite made their way back into Russia. So only a fraction of reported export sales were actually received as cash payments in Russia. And what is the name for the difference between the \$100 million of goods sold and \$10 million of cash actually received in Russia? It is capital flight. So what you had was a massive black hole in the capital account.

So the owners of the companies were absconding with 90 percent of what they were selling? Was the theft really of that magnitude?

Yes, and across the entire Russian economy. Then you will ask me, "Why didn't the companies collapse?" They didn't collapse because they weren't paying their workers.

Well, how did the workers survive if they weren't being paid?

A lot of companies ran token systems. The workers would be paid tokens that could only be spent in the company store. It was very much like Victorian England. The workers had no choice because often the company would be the only employer in town. The company owned all the housing, the stores, the local football team, everything.

So basically the workers made just enough to pay for food and housing.

That's right, and there was no money spent on infrastructure, which deteriorated year after year.